AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B294
Financial Analysis and Decision Making

Mid-term Examination / Version: C
2025-2026 / Fall

4-December-2025

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 Hours

AOU EXAM PAPER

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided.
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches.
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during t examination.
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating Policy.

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Question 1 (30 marks)

All businesses, whether a local grocery shop or a multinational company, must manage their finances effectively to carry out their operations.

A. Explain the concept of financial management. (20 Marks)

B. Briefly discuss the function of financial management and some of the financial managers' activities. (10 Marks)

Question 2 (30 Marks)

If you knew that the appropriate interest rate is 10 percent, calculate the future values of cash stream A. Also, calculate the present values of cash stream B at a discount rate of 12 percent.

Note: Students must show their understanding by showing their calculation steps.

Year	Cash Stream A	Cash Stream B
1	$200	$350
2	500	250
3	400	450
4	300	350

Question 3 (20 marks):

Martin Inc. has 2.5 million shares in issue. The current market price is $22 per share. The company's debt is publicly traded on the Berlin Stock Exchange and the most recent quote for its price was at 92% of face value. The debt has a total face value of $16 million and the company's credit risk premium is currently 2.6%. The risk-free rate is 3.2% and the equity market risk premium is 7%. The company's beta is estimated at 0.85 and its corporate tax rate is 40%.

Required: Calculate the company's WACC.

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Question 4 (20 marks):

James would like to buy a car that cost $100,000, 16 years from today. Bill also wants the same car that costs $100,000 but she is only willing to wait 12 years. How much more would Bill have to deposit today as compared to James if they both are to reach their goals and the interest rate for both is 10 percent?

END OF EXAM

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